

# Damac's Surfside Zero-Sales Record Shows Price Is Not the Only Barrier to Entry

A Dubai developer paid \$120M for the collapse site but sold zero units. The problem is not demand. It is credibility.

The most telling number in Damac Properties' failed Surfside launch is not the \$120 million it paid for the site. It is zero. Zero units sold in 18 months. Zero buyers willing to commit \$15 million or more to a tower designed by Zaha Hadid Architects on the most sensitive piece of residential land in South Florida. Damac paused construction in February, citing insurance difficulties.

It has made inquiries about selling the site and is now seeking a local partner to manage day-to-day development, according to people familiar with the matter. The developer set prices at \$5,000 per square foot, above the neighborhood average of \$4,466. The top 5% of Surfside condo sales reached \$31 million or more in the first quarter.

Fort Partners sold more than \$2 billion in residential units in three months at its nearby Four Seasons Surfside project. Demand exists. It just does not exist for this project. The problem is not price. It is credibility. Damac was the only bidder for the site after a state court ordered its sale to fund a \$1 billion settlement for victims' families. The firm had no prior U.S. development experience.

It failed to reach agreement with victims' families on incorporating a memorial into the project. Former Surfside Commissioner Marianne Meischeid said the developer's handling of memorial discussions deepened local resistance. In luxury condo development, local resistance is a pricing liability. Buyers at this level do not just underwrite the unit. They underwrite the sponsor, the community, and the narrative.

Damac Chairman Hussain Sajwani viewed the site as a rare opportunity to enter the U.S. market at a favorable price. That was a capital markets thesis, not a development thesis. The site was cheap because it carried a burden no price could clear: the memory of 98 deaths and the expectation that the developer would treat that memory with care.

Damac appears to have treated it as a zoning condition rather than a market condition. The market responded accordingly. The insurance pause is a symptom, not a cause. Construction insurance in Florida is expensive and constrained, but it is available for credible sponsors with local track records. Damac's inexperience in South Florida and lack of a local partner made it a higher-risk counterparty for insurers, lenders, and buyers alike.

The construction pause is effectively a capital markets signal: the project cannot attract the debt, equity, or insurance it needs to proceed because the market does not trust the sponsor to execute. Who benefits from this failure? Local developers with established relationships, completed projects, and the ability to absorb the memorial obligation into their underwriting. Fort Partners has already demonstrated that luxury demand in Surfside is real and deep.



The site will eventually trade to a sponsor who can bridge the gap between capital and community. That sponsor will likely pay less than \$120 million, reflecting the time, reputational damage, and memorial costs Damac could not manage. Who is exposed? Any developer who believes that buying a distressed asset at a discount is sufficient to overcome local market resistance.

The Surfside site was not distressed because of a bad loan or a failed business plan. It was distressed because of a tragedy. That kind of distress does not clear with a lower basis. It clears with a credible sponsor, a respectful memorial plan, and a buyer base that trusts the developer to deliver both. The market should watch whether Damac finds a local partner or sells the site outright.

A sale at a discount would confirm that the basis alone could not save the project. A partnership would signal that Damac recognizes its limitation and is willing to share control to salvage the entry. Either outcome is a lesson in what capital cannot buy: trust.

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